Education & Skills Funding Agency

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To accounting officers in academy trusts and colleges

Dear colleagues

As you may have seen, we have today announced that the current functions of the ESFA will transfer into the Department for Education.

This means that the ESFA as an executive agency will close on 31 March 2025.

Why are we changing?

The ESFA has been an important part of the education landscape since 2017. Delivering and assuring £75 billion of funding to 25,000 providers means we are one of the biggest funding operations anywhere in government. In parallel we have played an important role in the regulatory and accountability arrangements for providers.

I am very proud of the achievements of the ESFA during this time. Our most recent annual report pointed to some of the successes we have had in supporting the 25,000 schools, colleges and independent training providers who we work with. These include:

- ensuring all key financial management and government advice could be found in one place in the financial handbooks for academies, colleges and independent training providers (ITPs)
- achieving a 99.9% success rate on the accuracy and timeliness of over half a million individual payments to providers
- preventing and detecting £91 million of fraud

Over that period, we have seen a number of changes to our role and functions, most recently following Sir David Bell's Review of the ESFA in 2022. Since those changes were implemented, we have continued to reflect on the interface between us and the department. One of the messages that we have regularly heard from our providers during this time, is that they have found central government challenging to navigate.

The changes announced today will help build on some of those concerns. Moving the agency's functions into the department will allow for a more